



The Board of Directors of NIC Group PLC is pleased to announce the Un-audited financial results of the Group and Bank for the period ended 30th September, 2017.

I STATEMENT OF FINANCIAL POSITION	BANK					COMPANY	GROUP				
	30th Sep, 2017 Un-audited Shs '000	30th June, 2017 Un-audited Shs '000	31st March, 2017 Un-audited Shs '000	31st Dec, 2016 Audited Shs '000	30th Sep, 2016 Un-audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th June, 2017 Un-audited Shs '000	31st March, 2017 Un-audited Shs '000	31st Dec, 2016 Audited Shs '000	30th Sep, 2016 Un-audited Shs '000
A ASSETS											
1 Cash (both Local & Foreign)	1,338,045	1,229,194	1,233,548	1,585,835	1,212,526	1,200,000	1,727,069	1,581,284	1,550,654	1,919,377	1,735,424
2 Balances due from Central Banks	8,794,695	7,376,531	6,410,262	4,360,474	5,883,683	-	9,653,420	8,554,158	7,328,033	5,344,124	6,699,636
3 Kenyan Government securities held for dealing purposes	-	-	-	-	-	-	-	-	-	-	-
4 Financial assets at fair value through profit & loss	-	-	-	-	-	-	566,149	552,343	529,606	227,600	44,320
5 Investment Securities:											
a) Held to Maturity											
a. Kenya Government securities	20,749,614	14,036,252	3,583,188	3,491,163	9,318,704	-	20,749,614	14,036,252	3,583,188	3,491,163	9,318,704
b. Other securities	-	-	-	-	-	-	1,692,698	2,068,507	2,191,574	2,273,216	2,656,672
b) Available for sale:											
a. Kenya Government securities	28,514,695	27,452,746	24,436,739	23,795,496	21,603,776	-	28,514,695	27,452,746	24,436,739	23,795,496	21,603,776
b. Other securities	-	-	-	-	-	-	830,852	771,428	866,755	911,020	1,010,583
6 Deposits and balances due from local banking institutions	-	19,551	48,057	1,163,270	618,019	-	34,256	781,477	1,456,867	1,047,204	1,047,204
7 Deposits and balances due from banking institutions abroad	4,505,326	9,726,675	9,168,621	8,055,566	3,498,667	-	5,303,241	10,223,900	9,164,119	8,225,341	3,765,060
8 Tax recoverable	-	266,578	-	-	682,645	3,329	147,313	409,025	139,047	137,003	796,001
9 Loans and advances to customers (net)	110,293,034	109,274,084	108,913,109	107,097,133	103,479,054	-	118,552,625	116,769,833	116,323,035	114,466,274	110,470,843
10 Balances due from banking institutions in the group	1,393,715	1,557,076	1,790,695	1,375,189	1,571,538	-	-	-	-	-	-
11 Investments in associates	-	-	-	-	-	-	-	-	-	-	-
12 Investments in subsidiary companies	-	5,357,701	5,357,701	5,357,701	4,357,701	29,118,705	-	-	-	-	-
13 Investments in joint ventures	-	-	-	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-	-	-	-
15 Property and equipment	909,099	898,186	853,828	861,294	865,609	-	1,073,145	1,024,797	1,023,268	1,043,497	1,080,168
16 Prepaid lease rentals	6,781	6,812	6,844	6,875	6,906	-	522,781	522,812	522,844	522,875	522,906
17 Intangible assets	778,291	587,047	593,770	605,547	488,198	-	1,258,001	1,085,512	1,050,808	1,071,441	958,161
18 Deferred tax asset	3,318,822	2,545,665	2,545,665	2,545,664	1,167,587	-	3,531,050	2,753,766	2,752,492	2,752,871	1,364,263
19 Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-
20 Other assets	1,260,030	1,345,551	1,362,719	1,546,144	1,960,358	-	1,538,128	1,659,845	1,580,678	1,820,820	2,195,757
21 TOTAL ASSETS	181,862,147	181,679,649	166,304,746	161,847,351	156,714,971	30,322,034	195,695,037	189,489,824	173,824,317	169,458,985	165,269,478
B LIABILITIES											
22 Balances due to Central Banks	4,493,668	-	-	-	4,951,348	-	4,493,668	-	-	-	4,951,348
23 Customer deposits	123,066,638	125,049,070	110,050,914	104,160,200	100,927,178	-	131,429,568	133,158,753	117,841,957	111,824,685	108,358,276
24 Deposits and balances due to local banking institutions	3,851,940	2,400,373	1,748,030	72,764	569,468	-	3,851,940	2,400,373	1,748,030	72,764	569,468
25 Deposits and balances due to foreign banking institutions	13,287	-	43,183	2,554,801	3,230,835	-	271,808	188,249	393,035	2,703,162	4,086,701
26 Other money market deposits	-	-	-	-	-	-	-	-	-	-	-
27 Borrowed funds	18,015,735	18,092,095	18,999,154	18,976,920	13,650,666	-	18,928,890	18,967,950	20,002,325	19,965,484	14,755,486
28 Balances due to banking institutions in the group	126,837	148,376	145,922	50,807	89,881	-	-	-	-	-	-
29 Tax payable	81,698	-	848,025	446,766	-	-	87,384	14,510	856,761	455,649	7,263
30 Dividends payable	-	22,308	25,401	35,599	204,008	30,573	30,573	22,308	25,401	35,599	204,008
31 Deferred tax liability	-	-	-	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-	-	-	-	-
33 Other liabilities	4,132,860	3,424,270	3,279,936	5,261,231	3,066,381	11,096	2,726,655	2,170,268	1,934,042	4,056,278	2,785,311
34 TOTAL LIABILITIES	153,782,663	149,136,492	135,140,565	131,559,088	126,689,765	41,669	161,820,486	156,922,411	142,801,551	139,113,621	135,717,861
C SHAREHOLDERS' FUNDS											
35 Paid up / Assigned capital	15,000,000	3,199,728	3,199,728	3,199,728	3,199,728	3,199,728	3,199,728	3,199,728	3,199,728	3,199,728	3,199,728
36 Share Premium	9,446,004	2,700,017	2,700,017	2,700,017	2,700,017	2,700,017	2,700,017	2,700,017	2,700,017	2,700,017	2,700,017
37 Revaluation reserves	-	175,202	175,202	175,202	179,983	-	-	175,202	175,202	175,202	179,983
38 Retained earnings	2,616,126	24,695,377	23,622,927	22,686,358	22,351,403	24,380,620	27,442,398	25,089,502	24,160,404	23,012,504	22,796,480
39 Statutory loan reserves	962,599	943,865	958,088	961,793	975,263	-	1,161,693	1,182,640	1,036,354	1,238,486	1,127,432
40 Other reserves	54,755	828,968	(131,727)	(74,781)	618,812	-	(1,138,955)	(294,139)	(1,397,669)	(1,126,374)	(951,819)
41 Proposed dividends	-	-	639,946	639,946	-	-	-	-	639,946	639,946	-
42 Capital grants	-	-	-	-	-	-	-	-	-	-	-
	28,079,484	32,543,157	31,164,181	30,288,263	30,025,206	30,280,365	33,364,881	32,052,950	30,513,982	29,839,509	29,051,821
43 Non-controlling interests	-	-	-	-	-	-	509,670	514,463	508,784	505,855	499,796
44 TOTAL SHAREHOLDERS' FUNDS	28,079,484	32,543,157	31,164,181	30,288,263	30,025,206	30,280,365	33,874,551	32,567,413	31,022,766	30,345,364	29,551,617
45 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	181,862,147	181,679,649	166,304,746	161,847,351	156,714,971	30,322,034	195,695,037	189,489,824	173,824,317	169,458,985	165,269,478



II STATEMENT OF COMPREHENSIVE INCOME	BANK							COMPANY	GROUP				
	9 Months to 30th Sep, 2017	1 Month to 30th Sep, 2017	8 Months to 31st Aug, 2017	30th June, 2017	31st March, 2017	31st Dec, 2016	30th Sep, 2016		30th Sep, 2017	30th June, 2017	31st March, 2017	31st Dec, 2016	30th Sep, 2016
	Un-audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Audited Shs '000	Un-audited Shs '000		Un-audited Shs '000	Un-audited Shs '000	Un-audited Shs '000	Audited Shs '000	Un-audited Shs '000
1 INTEREST INCOME													
1.1 Loans and advances	9,166,467	981,429	8,185,038	6,177,458	3,105,995	14,212,910	11,131,340	-	9,858,671	6,640,617	3,333,105	15,150,632	11,841,109
1.2 Government securities	3,199,920	455,918	2,744,002	1,883,571	831,419	3,214,229	2,387,520	-	3,585,382	2,146,988	962,808	3,735,870	2,770,133
1.3 Deposits and placements with banking institutions	52,400	6,126	46,274	29,880	13,432	82,388	71,621	-	46,446	23,863	16,318	134,173	114,814
1.4 Other interest income	-	-	-	-	-	-	-	-	-	-	-	-	-
1.5 TOTAL INTEREST INCOME	12,418,787	1,443,473	10,975,314	8,090,909	3,950,846	17,509,527	13,590,481	-	13,490,499	8,811,468	4,312,231	19,020,675	14,726,056
2 INTEREST EXPENSE													
2.1 Customer deposits	3,969,543	499,034	3,470,509	2,453,323	1,123,853	4,986,572	3,935,494	-	4,297,820	2,675,665	1,235,464	5,368,231	4,207,853
2.2 Deposits and placement from banking institutions	122,133	28,273	93,860	49,784	19,348	195,890	145,427	-	143,021	61,469	24,465	246,731	190,337
2.3 Other interest expenses	976,860	109,049	867,811	650,517	325,352	1,147,440	862,504	-	1,012,765	675,429	345,181	1,237,116	931,372
2.4 TOTAL INTEREST EXPENSE	5,068,536	636,356	4,432,180	3,153,624	1,468,553	6,329,902	4,943,425	-	5,453,606	3,412,563	1,605,110	6,852,078	5,329,562
3 NET INTEREST INCOME	7,350,251	807,117	6,543,134	4,937,285	2,482,293	11,179,625	8,647,056	-	8,036,893	5,398,905	2,707,121	12,168,597	9,396,494
4 NON - INTEREST INCOME													
4.1 Fees and commissions on loans and advances	968,663	105,475	863,188	630,760	309,436	1,117,156	867,728	-	1,066,078	677,457	336,691	1,215,324	945,884
4.2 Other fees and commissions	599,524	70,430	529,094	391,448	193,813	710,909	525,429	-	665,261	436,735	217,354	795,027	595,124
4.3 Foreign exchange trading income	856,764	107,230	749,534	551,991	283,564	1,030,462	805,884	-	906,182	584,068	300,718	1,105,147	865,213
4.4 Dividend income	-	-	-	-	-	-	-	-	-	-	-	-	-
4.5 Other income	353,581	59,773	293,808	211,415	93,830	634,389	492,363	-	524,129	310,737	134,223	904,061	667,448
4.6 TOTAL NON-INTEREST INCOME	2,778,532	342,908	2,435,624	1,785,614	880,643	3,492,916	2,691,404	-	3,161,650	2,008,997	988,986	4,019,559	3,073,669
5 TOTAL OPERATING INCOME	10,128,783	1,150,025	8,978,758	6,722,899	3,362,936	14,672,541	11,338,460	-	11,198,543	7,407,902	3,696,107	16,188,156	12,470,163
6 OPERATING EXPENSES													
6.1 Loan loss provision	2,090,962	359,336	1,731,626	1,430,896	862,829	3,711,702	3,168,493	-	2,144,632	1,445,703	875,324	3,749,530	3,195,596
6.2 Staff costs	1,911,001	208,320	1,702,681	1,267,787	567,209	2,611,360	1,801,991	11,096	2,387,267	1,576,660	717,194	3,222,493	2,247,696
6.3 Directors' emoluments	86,094	5,424	80,670	60,207	28,899	153,065	84,509	-	109,833	75,455	36,320	174,638	118,697
6.4 Rental charges	192,398	21,590	170,808	125,002	61,694	221,239	186,500	-	292,769	190,626	95,545	370,057	297,176
6.5 Depreciation charge on property and equipment	151,017	16,562	134,455	101,365	51,294	191,673	142,622	-	206,597	135,428	59,638	277,906	204,235
6.6 Amortisation charges	152,505	11,511	140,994	105,742	52,687	191,670	140,737	-	180,168	123,869	74,332	221,937	163,949
6.7 Other operating expenses	1,229,270	155,105	1,074,165	787,485	400,892	1,666,322	1,262,429	-	1,485,931	941,773	469,126	2,004,646	1,503,553
6.8 TOTAL OPERATING EXPENSES	5,813,247	777,848	5,035,399	3,878,484	2,025,504	8,747,031	6,787,281	11,096	6,807,197	4,489,514	2,327,479	10,021,207	7,730,902
7 Profit before tax and exceptional items	4,315,536	372,177	3,943,359	2,844,415	1,337,432	5,925,510	4,551,179	(11,096)	4,391,346	2,918,388	1,368,628	6,166,949	4,739,261
8 Exceptional items	-	-	-	-	-	-	-	-	-	-	-	-	-
9 PROFIT AFTER EXCEPTIONAL ITEMS	4,315,536	372,177	3,943,359	2,844,415	1,337,432	5,925,510	4,551,179	(11,096)	4,391,346	2,918,388	1,368,628	6,166,949	4,739,261
10 Current tax	(1,809,571)	(111,653)	(1,697,918)	(853,324)	(401,230)	(3,161,441)	(1,365,352)	3,329	(1,845,130)	(888,625)	(416,592)	(3,226,335)	(1,375,355)
11 Deferred tax	773,157	-	773,157	-	-	1,378,078	-	-	773,157	-	-	1,389,782	-
12 PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	3,279,122	260,524	3,018,598	1,991,091	936,202	4,142,147	3,185,827	(7,767)	3,319,373	2,029,763	952,036	4,330,396	3,363,906
13 Other Comprehensive Income:													
13.1 Exchange differences on translation of foreign operations	-	-	-	-	-	-	-	-	(67,336)	(71,514)	(214,349)	50,300	(541,942)
13.2 Fair value changes in available-for-sale financial assets	1,023,952	54,755	969,197	903,749	(56,946)	491,662	1,185,255	-	54,755	903,749	(56,946)	418,458	1,185,255
13.3 Revaluation surplus on property, plant and equipment	-	-	-	-	-	-	-	-	-	-	-	-	-
13.4 Share of comprehensive income of associates	-	-	-	-	-	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-	-	-	-	-
OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	1,023,952	54,755	969,197	903,749	(56,946)	491,662	1,185,255	-	(12,581)	832,235	(271,295)	468,758	643,313
15 TOTAL COMPREHENSIVE INCOME FOR THE YEAR	4,303,074	315,279	3,987,795	2,894,840	879,256	4,633,809	4,371,082	(7,767)	3,306,792	2,861,998	680,741	4,799,154	4,007,219
	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs
EARNINGS PER SHARE- BASIC & DILUTED	5.12	0.02	4.72	3.11	1.46	6.47	4.98	-	5.19	3.17	1.49	6.77	5.26
INTERIM DIVIDEND PER SHARE - DECLARED	-	-	-	-	-	0.25	-	-	-	-	-	0.25	-
FINAL DIVIDEND PER SHARE - DECLARED	-	-	-	-	-	1.00	-	-	-	-	-	1.00	-

III OTHER DISCLOSURES	BANK					COMPANY					
	30th Sep, 2017 Un-audited Shs '000	30th June, 2017 Un-audited Shs '000	31st March, 2017 Un-audited Shs '000	31st Dec, 2016 Audited Shs '000	30th Sep, 2016 Un-audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th Sep, 2017 Un-audited Shs '000	30th June, 2017 Un-audited Shs '000	31st March, 2017 Un-audited Shs '000	31st Dec, 2016 Audited Shs '000	30th Sep, 2016 Un-audited Shs '000
1. NON-PERFORMING LOANS AND ADVANCES											
(a) Gross Non-performing loans and advances	13,895,404	13,484,055	12,963,365	12,650,315	13,214,995	-	14,702,521	14,341,928	13,800,506	13,587,912	14,251,802
(b) Less Interest in Suspense	1,840,504	1,626,192	1,283,690	683,839	649,057	-	1,916,878	1,688,021	1,334,166	704,080	676,464
(c) TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	12,054,900	11,857,863	11,679,675	11,966,476	12,565,938	-	12,785,643	12,653,907	12,466,340	12,883,832	13,575,338
(d) Less Loan Loss Provision	5,233,200	4,827,677	4,451,064	4,728,028	4,768,665	-	5,151,061	5,132,699	4,643,679	5,022,089	4,978,105
(e) NET NON-PERFORMING LOANS AND ADVANCES (c-d)	6,821,700	7,030,186	7,228,611	7,238,448	7,797,273	-	7,634,582	7,521,208	7,822,661	7,861,743	8,597,233
(f) Discounted Value of Securities	6,821,700	7,030,186	7,228,611	7,238,448	7,797,273	-	7,634,583	7,521,208	7,822,661	7,861,743	8,597,233
(g) NET NPLS EXPOSURE (e-f)	-	-	-	-	-	-	-	-	-	-	-
2. INSIDER LOANS AND ADVANCES											
(a) Directors, shareholders and associates	563,766	536,672	474,559	498,100	664,607	-	662,576	630,677	531,966	600,169	719,511
(b) Employees	2,212,160	2,173,830	2,020,464	1,932,600	1,815,847	-	2,222,983	2,184,524	2,034,992	1,958,897	1,832,969
(c) TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES	2,775,926	2,710,502	2,495,023	2,430,700	2,480,454	-	2,885,559	2,815,201	2,566,958	2,559,066	2,552,480
3. OFF-BALANCE SHEET ITEMS											
(a) Letters of credit, guarantees, acceptances	14,949,887	15,914,206	16,333,509	16,401,719	17,542,039	-	15,322,471	16,257,295	16,563,878	16,595,287	17,829,849
(b) Forwards, Swaps and options	27,526,620	28,773,328	27,347,310	14,043,849	22,073,496	-	27,526,620	28,773,328	27,347,310	14,043,849	22,073,496
(c) Other contingent liabilities	-	-	-	-	-	-	-	713,621	1,924,371	1,068,674	-
(d) TOTAL CONTINGENT LIABILITIES	42,476,507	44,687,534	43,680,819	30,445,568	39,615,535	-	42,849,091	45,744,244	45,835,559	31,707,810	39,903,345
4. CAPITAL STRENGTH											
(a) Core capital	26,306,235	26,394,170	25,848,370	25,379,908	22,659,099	-	31,714,067	30,004,474	29,449,944	28,942,838	25,669,551
(b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	-	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
(c) Excess (a-b)	25,306,235	25,394,170	24,848,370	24,379,908	21,659,099	-	30,714,067	29,004,474	28,449,944	27,942,838	24,669,551
(d) Supplementary Capital	5,299,861	6,506,474	6,403,242	6,503,528	8,616,164	-	5,498,955	6,745,249	6,581,519	6,780,221	9,768,333
(e) TOTAL CAPITAL (a+d)	31,606,096	32,900,644	32,251,612	31,883,436	31,275,263	-	37,213,022	36,749,723	36,031,463	35,723,059	35,437,884
(f) TOTAL RISK WEIGHTED ASSETS	161,199,002	161,806,922	156,424,637	147,419,229	142,893,631	-	170,251,135	169,791,834	164,495,227	155,044,871	149,703,910
(g) Core Capital / Total deposits liabilities	21.38%	21.11%	23.49%	24.36%	22.45%	-	24.13%	22.53%	24.99%	25.88%	23.69%
(h) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%	8.00%	-	8.00%	8.00%	8.00%	8.00%	8.00%
(i) Excess (g-h)	13.38%	13.11%	15.49%	16.36%	14.45%	-	16.13%	14.53%	16.99%	17.88%	15.69%
(j) Core Capital / Total risk weighted assets	16.32%	16.31%	16.52%	17.22%	15.86%	-	18.63%	17.67%	17.90%	18.67%	17.15%
(k) Minimum statutory ratio	10.50%	10.50%	10.50%	10.50%	10.50%	-	10.50%	10.50%	10.50%	10.50%	10.50%
(l) Excess (j-k)	5.82%	5.81%	6.02%	6.72%	5.36%	-	8.13%	7.17%	7.40%	8.17%	6.65%
(m) Total Capital / Total risk weighted assets	19.61%	20.33%	20.62%	21.63%	21.89%	-	21.86%	21.64%	21.90%	23.04%	23.67%
(n) Minimum statutory ratio	14.50%	14.50%	14.50%	14.50%	14.50%	-	14.50%	14.50%	14.50%	14.50%	14.50%
(o) Excess (m-n)	5.11%	5.83%	6.12%	7.13%	7.39%	-	7.36%	7.14%	7.40%	8.54%	9.17%
5. LIQUIDITY											
(a) Liquidity Ratio	45.77%	46.58%	39.85%	38.52%	33.11%	-	44.62%	45.65%	39.03%	38.74%	34.03%
(b) Minimum statutory ratio	20.00%	20.00%	20.00%	20.00%	20.00%	-	20.00%	20.00%	20.00%	20.00%	20.00%
(c) Excess (a-b)	25.77%	26.58%	19.85%	18.52%	13.11%	-	24.62%	25.65%	19.03%	18.74%	14.03%

On 1st September 2017, NIC Bank Limited completed its restructuring into a Non-Operating Holding Company. This followed receipt of the requisite approvals by shareholders and bondholders, as well as regulatory authorities including the Central Bank of Kenya, the Capital Markets Authority and the National Treasury. Under the group re-organisation, the Kenyan banking business, assets and liabilities (save for certain assets and liabilities) of NIC Bank Limited were transferred to a New Operating entity, NIC Bank Kenya PLC. NIC Bank Limited changed its name to NIC Group PLC.

For ease of comparison, the Kenyan Banking Business performance for 9 months to 30 September 2017 comprises the financial performance of NIC Bank Limited for the 8 month period ended 31 August 2017 and the financial performance of NIC Bank Kenya PLC for the month of September 2017.

The results of the 'Company' and 'Group' above comprise the stand alone and consolidated financial results of NIC Group PLC respectively.

The financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.nicgroup.com. They may also be accessed at the institution's head office located at NIC House, Masaba Road, Nairobi.

NIC Group PLC and NIC Bank Kenya PLC are regulated by the Central Bank of Kenya.

BY ORDER OF THE BOARD

I. MURAGE

GROUP COMPANY SECRETARY